reel under accumulated losses of Rs 5.2 lakh crore thanks to state governments promising power doles to people, their inability to recover costs from consumers and mounting distribution losses. India has 32 discoms, most of which are state-owned; the few that are in the private space can be found only in the big cities.

Financial bottlenecks, though, are nothing new in the power sector. The crisis this year stemmed from a number of other reasons—from the short-sightedness of power agencies to pending structural issues that have been in need of urgent resolution for some time now. In private, though, top officials admit the early summer and the pent-up consumption demand caught them off-guard. In April, India collected a record Rs 1.68 lakh crore in the Goods & Services Tax, indicating a rise in economic activity. Alongside, the demand for power between March and April saw a surge of 33 per cent. The railways had fewer rakes running coal, which meant it could not reach gencos on time even as demand peaked. Power generation became unviable for gencos using imported coal, as Russia's war in Ukraine since February and the uncertain export policy in Indonesia jacked up coal prices by almost three times, and they could not step up power generation. In April, they worked at 27 per cent of their 16,000 KW capacity even as clients like Haryana and Rajasthan struggled to meet the power demand. Not having factored in the additional demand, financially stretched discoms went for load-shedding instead of buying power. The Union power minister R.K. Singh laid the blame for the crisis squarely on the states' doorsteps. "There will be some shortages because there are states which have not made payments to gencos," he said on April 28. "In other places, they could not lift coal (even though the fuel was made available). Part of the crisis is because of their (states') wrong planning."

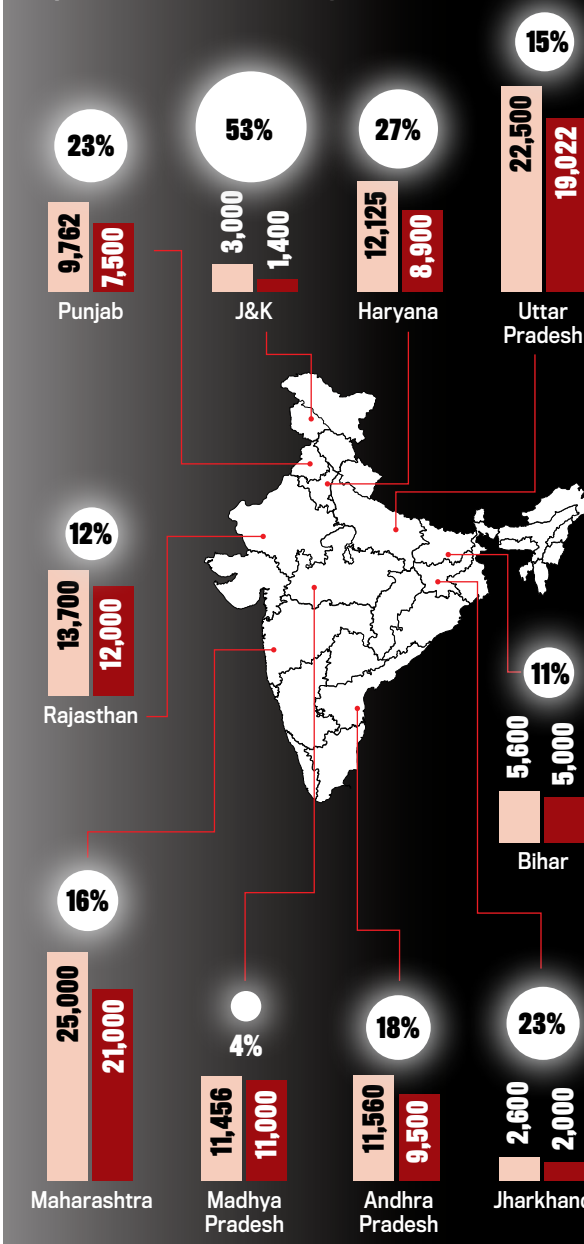


"There will be some shortages as some states have not paid gencos. In other places, they could not lift coal. Part of the crisis is because of their (states') wrong planning"

R.K. SINGH
Union power minister

SUFFERING STATES

Haryana, Rajasthan, UP, Maharashtra and Andhra Pradesh faced hours-long outages due to critically low coal levels in state plants and massive unpaid dues, which constricted their ability to buy power to meet the rising demand



Source: Power Ministry